Harborline Outfitters — Free Shipping Policy

Document HLO-POL-014 · Version 3.0 · Effective 1 March 2026 · Owner: VP E-commerce · Status: Approved

Harborline Outfitters is a fictional retailer used for demonstration.

1. Purpose

This policy sets when online orders ship free of charge. It balances conversion, average order value (AOV) and the cost of shipping as a share of net sales.

2. Free-shipping threshold

Standard shipping is free when the order subtotal after discounts is at or above the threshold.

- From 1 March 2026 the threshold is 119 USD.
- Before 1 March 2026 the threshold was 99 USD (policy version 2.1, in force since 2023).
- Orders below the threshold pay a flat Standard shipping fee of 6.95 USD.
- Expedited (2-day) and Next-day shipping are always charged and never free.

3. Always-free exceptions

- Loyalty members at Gold and Platinum tier ship Standard free at any order value.
- Free-shipping promotion days (for example the Summer sale) waive the threshold for all customers.
- Marketplace orders follow the marketplace partner's shipping rules, not this threshold.

4. Why the threshold changed in March 2026

Carrier rates rose 6.9% in January 2026 and shipping cost reached 7.8% of online net sales in Q4 2025, above the 6.5% guardrail. Analysis of 2025 baskets showed that 31% of orders between 99 and 119 USD were a single item added to reach the old threshold. Raising the threshold to 119 USD was approved by the pricing committee on 12 February 2026.

5. Expected impact (approved business case)

- Free-shipping share of shipped orders expected to fall by 8 to 10 percentage points.
- Online AOV expected to rise by 4% to 6% as customers add items to qualify.
- Online conversion expected to dip by 1% to 2% in the first quarter, then recover.
- Shipping cost as a share of online net sales expected to return below 6.5% by Q3 2026.

6. Measurement

The Free shipping % metric is shipped orders with a 0 USD shipping fee divided by all shipped orders. It is reported weekly in the WBR by region and channel. A drop in Free shipping % after March 2026 is the intended effect of this policy and is not an operational problem.

7. Review

E-commerce reviews this policy each quarter. The next review is scheduled for October 2026 and will include a test of a 109 USD threshold for Silver members.